

introduce the right policy frameworks, and the right regulatory frameworks, and the right basic principles of where they're going on a topic, it can reduce the investment you need to meet an SDG goal by half.... That's the first thing... [and] this has a double benefit; not only does it reduce the friction in getting there, it enables the private sector without whom you cannot get to these goals. You're not going to get to these goals with multilateral bank balance sheets, or with government balance sheets; you're going to need the private sector balance sheet, ingenuity, technology and people. That's what the private sector lab is about... What can we do to be helpful to make them come in? Starting with policy, it could be first risk, blended finance, concessional capital for feasibility studies; it could be help with... the supply side of this... creating projects that are bankable, helping them

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“Fighting poverty, and [aiming for] shared prosperity on the one hand, separating it from climate, pandemics, fragility, refugees, food insecurity, or biodiversity... doesn't make sense because these are intertwined crises”

implement them, it could be originating to distribute, it could be managing the asset lifecycle—I take part of the balance sheet load in the early part, once the gestation is done and the utility is paying for the energy, the bank moves to the next deal. You know, there's a lot of ways to think about how to sweat this and work with the private sector. None of it is easy. All of it will test us, but not doing anything is not an option.

Q: Let's talk about debt relief, which is a key thrust area, especially for countries in the Global South that are facing incredibly high levels of debt. How do you deal with that?

A: The G20 has a common framework for this situation. The IMF and the World Bank together—the IMF takes the lead on this—have created a Global Sovereign Debt Roundtable. What happens at the

roundtable is that all the creditors for that country show up and talk about what debt they have outstanding, what are covenants what the repayments are. That's what got done recently for Zambia. And that's the work we need to do for a few other countries. And then you can take the decision on what kind of haircuts will be taken both by the sovereign lenders, but also by other bilaterals. In the past when the World Bank and the IMF have participated and helped, what essentially happens is we are not part of the haircut regime. We are the guys who are there when the country needs new lending. So we are right now putting together a package for Zambia to look forward for the next 20 years. So that's the role we play... get them on the table together, get an agreement and then step in to put more money on the table for them to be able to do the right thing... I want to end by [saying] one thing on debt... **The debt that was taken by some of these countries in the time period of low interest rates was probably either not well enough thought through or well enough planned for in a scenario of rising interest rates.** What will be very challenging also for these countries will be if these rising interest rates stay higher for longer, which is entirely possible today, because the US economy, India, ASEAN are doing better than what people thought... And so I think there is a case to be made that this entire debt situation needs to be taken on a war footing.

Q: As a person of Indian origin, how do you think Prime Minister Narendra Modi and India have handled the G20 presidency?

A: I told PM Modi jokingly that **I'm the biggest example of 'Make in India'—because I was born here, did my schooling from here, went to college from here, did an MBA from here, and I have not studied anything outside India**—not even a training course—after moving out of India. So, I'm the ultimate example of Make in India. So, my view is what India was able to do at the G20—not only was it successful in bringing out a communiqué, more than that [what is important] is the global positioning and branding of India during the G20... meetings were held in 60 cities, people went everywhere—this is not normal; in addition, India's efforts at digital public infrastructure, along with the few other countries, got noticed; even the World Bank made a report about it. So, the benefits for India are not only in terms of leadership, but also of India's own global image, and I think it has been quite well handled. **BT**

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